

Subject Code	AF5375
Subject Title	Financial Information Analysis
Credit Value	3
Level	5
Normal Duration	1-semester
Pre-requisite/Co-requisite/Exclusion	None
Objectives	This subject aims to develop students with knowledge of accounting and finance to interpret financial and accounting information for providing advice to different stakeholders in developing strategy and making decision. It enables students to identify business ethics issues in financial reporting, explain the relationship between agency theory and accounting concepts in respect of the role of corporate accounting in corporate governance and apply the knowledge of current reporting issues in the working environment. It also enables students to think critically in resolving corporate finance issues, establish the linkage between financial policies and corporate governance, apply their understanding of financial concepts and models to company analysis, evaluate the impacts of the business environment, organisational conduct, behaviour and cultures.
Intended Learning Outcomes	On completing this subject, the students will be able to: (a) effectively interpret the latest development in financial reporting regulation and the role of corporate accounting in corporate governance and link this role with agency theory and accounting concepts; (b) explain the significance of business ethics on financial reporting issues; (MCG Outcome 1) (c) apply the accounting concepts and financial reporting practices of Hong Kong companies with particular emphasis on listed companies; (MCG Outcome 4) (d) demonstrate how corporate financial policies are related to corporate governance; (MCG Outcome 4) (e) identify the sources of risk and assess its impact on corporate financial decisions; (f) apply corporate finance knowledge in financial decision making. (MCG Outcome 4)
Subject Synopsis/ Indicative Syllabus	<u>The regulatory framework and the role of International Financial Reporting Standards (IFRS)</u> The need for a regulatory framework. Agency theory and the role of corporate governance. The role of financial reporting standards. <u>The conceptual framework for financial reporting</u> The need for a conceptual framework. Objectives of general-purpose financial reporting. Qualitative characteristics of financial information. Assumptions underlying financial statements. Elements of financial

	statements. Recognition and derecognition. Measurement. Presentation and disclosure. Capital and capital maintenance. <u>Preparation and presentation of single entity financial statements</u> The objective of financial statements. Fair presentation and compliance with Hong Kong Financial Reporting Standards (HKFRS). Statement of financial position. Statement of profit or loss and other comprehensive income. Statement of changes in equity. Statement of cash flows. <u>Other contents and features of published accounts</u> Content of the annual report and accounts. The strategic report. The director's report. Notes to the accounts. Segment reporting. Reporting the substance of transactions. Limitations of published accounts. <u>Interpretation of accounting policies based on HKFRS</u> Accounting policies. Accounting for inventories, property, plant and equipment, investment property, intangible assets, events after the reporting period and provisions, contingent liabilities and contingent assets. <u>Financial reporting by groups of companies</u> The requirement to prepare consolidated financial statements. Principles for the consolidation of financial statements. Business combinations, fair value measurement and goodwill. Consolidated statement of financial position. Consolidated statement of profit or loss and other comprehensive income. Investments in associates and interest in joint arrangements. Equity method. A parent company's separate financial statements. Exemptions from preparing consolidated financial statements. <u>Analysis and evaluation of financial statements</u> The need for financial analysis. Fundamental analysis. Trend analysis. Ratio analysis. Profitability ratios. Limitations of ratio analysis. Accounting irregularities and creative accounting. <u>Financial markets and the identification of financing needs</u> Financial markets. Private versus public markets. The role of the Stock Exchange of Hong Kong and efficient market hypothesis. Other sources of finance from the private market. Identification of financing needs: budgeting and forecasting. <u>The cost of capital and capital structure</u> The importance of the cost of capital. Evaluation of the cost of equity, cost of debt, cost of capital and the weighted average cost of capital (WACC). Capital structure and factors affecting it. Financial gearing and operating gearing. Modigliani-Miller theory of capital structure. <u>Working capital management</u> Nature and purpose of working capital. Working capital cycle. Working capital management. Profitability versus liquidity. Working capital ratios and Inventory management. Management of receivables and payables.
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	<u>Risk assessment in investment appraisal techniques</u> Risk and investment decisions. Risk assessment models. The role of portfolio management. <u>Company analysis and business valuation methods</u> Investment valuation ratios and financial statement analysis. Valuation by dividend discount model, discounted cash flows (DCF) and valuations using the capital asset pricing model (CAPM). Application of efficient market hypothesis in business valuation. Shareholder value analysis. <u>Project appraisal techniques</u> Identification and analysis of projects. Factors affecting project appraisal. Project appraisal techniques. Capital rationing and the profitability index.							
Teaching/Learning Methodology	Lectures and seminars are integrated to encourage students' participation in class discussions. Lectures cover the fundamental principles and concepts of the subject syllabus. Seminars are for problem-solving, case presentation and discussion. Questions and short assignments are provided to provide timely feedback on the progress of each student. Students are expected to play an active role in seminars and are required to discuss ethical and corporate governance issues in financial and accounting topics. Students are expected to apply their knowledge to the discussion of the current financial and accounting issues faced by a corporate administrator in their working environment. Guided readings are provided to stimulate students' interest and attention.							
Assessment Methods in Alignment with Intended Learning Outcomes	Specific assessment methods/tasks	% weighting	Intended subject learning outcomes to be assessed (Please tick as appropriate)					
			a	b	c	d	e	f
	Participation	10%	√	√	√	√	√	√
	Midterm Test	25%	√	√	√			
	Group Project	15%				√	√	√
	Final Examination	50%	√	√	√	√	√	√
	Total	100%						
	Explanation of the appropriateness of the assessment methods in assessing the intended learning outcomes:							
<u>Participation:</u> Participation by attending classes and answering questions. <u>Midterm Test:</u> Midterm test covers syllabus in the first half of the semester. 60% of the test (i.e. 15% of the overall assessment) would be essay type questions.								

	<u>Group Project:</u> A group project requiring students to reflect upon issues associated with key concepts of financial management. <u>Final Examination:</u> A three-hour closed book comprehensive examination covering all the intended learning outcomes. Note: To pass this subject, students are required to obtain Grade D or above in BOTH the Continuous Assessment and Examination components. Besides, the specific requirements on individual assessment components discussed above could be adjusted based on the pedagogical needs of the subject lecturer. To reflect the significant ethic content in this subject, 10% of the overall weighting of this subject is based on individual assessment concerning ethic-related knowledge.	
Student Study Effort Expected	Class contact:	
	▪ 13 weeks of 3 hours seminar each	39 Hrs.
	Other student study efforts:	
	▪ Students are expected to spend around 6 hours per week revising and practice the accounting principles covered in class	78 Hrs.
	The total student study effort	117 Hrs.
Reading List and References	HKCGI, Online Study Text: <i>Interpreting Financial and Accounting Information</i>, 2023 or latest edition, Wolters Kluwer. CGI, <i>Interpreting Financial and Accounting Information</i>, 2023 or latest edition, Ingram Publisher Services UK. Melville, A., <i>International Financial Reporting: A Practical Guide 8e</i>, 2022 or latest edition, Pearson Elliott, B. and J. Elliott, <i>Financial Accounting and Reporting 20e</i>, 2022 or latest edition, FT Prentice Hall. Patrick Ng and Ng Eng Juan, Hong Kong Master GAAP Guide 16e, 2021 or latest edition, CCH Asia. Loftus, Leo, Daniliuc, Boys, Luke, Ang, Byrnes: <i>Financial Reporting 4e</i>, 2022 or latest edition, John Wiley & Sons, Inc. Ernst & Young, International GAAP, 2023 or latest edition – Generally Accepted Accounting Practice Under International Financial Reporting Standards, latest edition, Wiley. Hong Kong Institute of Certified Public Accountants, <i>Hong Kong Financial Reporting Standards</i>. Berk, Jonathan, Peter DeMarzo and Jarrad Harford, <i>Fundamentals of Corporate Finance – Global Edition</i>, 2019 or latest edition, Pearson.	

	Stephen Ross, Randolph Westerfield, Jeffrey Jaffe and Bradford Jordan, <i>Corporate Finance</i> 13e, 2022 or latest edition, McGraw-Hill. Ruth Tan and Helen Wong, <i>Corporate Finance: Asia Global Edition</i>, 2015 or latest edition, McGraw-Hill.
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